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3.3.3. Advantages of double entry system

Following are the advantages of double entry system:

(i) Accuracy

In this system, the two aspects of each transaction are recorded in the books of accounts. This helps in checking the accuracy in accounting.

(ii) Ascertainment of business results

Details regarding expenses, losses, incomes, gains, assets, liabilities, debtors, creditors, etc., are readily available. This helps to ascertain the net profit earned or loss incurred during an accounting period and also to know the financial position as on a particular date.

(iii) Comparative study

The business results of the current year can be compared with those of the previous years and also with other business firms. It facilitates business planning for future.

(iv) Common acceptance

The business records maintained under this system are accepted by financial institutions, government and others, because it is a systematic and scientific system.

3.4. Transaction

Transaction involves transfer of money or money's worth (goods or services or ideas) from one person to another. Transaction can be classified into cash transaction, bank transaction and credit transaction.

(a) Cash transaction

When immediate cash is involved in a transaction, it is called cash transaction. For example, goods are sold for cash ` 5,000. In this case, cash ` 5,000 comes into the business and goods worth ` 5,000 go out of the business.

(b) Bank transaction

In a transaction, if bank is involved, it is a bank transaction. Bank transaction includes the following:

(i) Cash deposited into the bank

(ii) Income of the business directly received by the bank

(iii) Receipts through Cash Deposit Machine (CDM)

(iv) Payment made by the customers of the business through debit card, credit card, net banking, National Electronic Funds Transfer (NEFT), Real Time Gross Settlement (RTGS), etc.

(v) Cash withdrawn from the bank

(vi) Bank charges levied by the bank